The world in brief

Catch up quickly on the global stories that matter

Photograph: Marcin Nowak/LNP

Peter Mandelson was arrested on suspicion of misconduct in public office. Britain's former ambassador to America is accused of sharing confidential government documents with Jeffrey Epstein, a dead sex offender. Files released by America's Justice Department appeared to show Lord Mandelson passing official information to Epstein in 2009-10, while a cabinet minister. Andrew Mountbatten-Windsor, formerly Prince Andrew, was arrested on similar grounds last week.

FedEx sued the American government, seeking a "full refund" for the Trump administration's tariffs. The logistics firm did not reveal how much money it was claiming. The lawsuit was filed in response to the Supreme Court's decision to strike down the bulk of Donald Trump's levies. Democratic senators also introduced legislation requiring the administration to repay businesses that had paid tariffs.

The uncertainty over America's tariffs, along with AI concerns, rattled American **stockmarkets**. The S&P 500 and the tech-heavy Nasdaq fell by more than 1%, driven by a continued software sell-off. Shares in IBM slumped by 13%, the IT firm's biggest single-

day decline in 25 years. Asian markets also fell during early trading on Tuesday.

Paramount Skydance increased its offer of around $110bn to buy **Warner Bros**, a rival studio, according to Bloomberg. The size of the new offer was not disclosed. Warner Bros had agreed to a deal with Netflix in December, but has since reopened talks with Paramount. If its board accepts Paramount's new offer, Netflix will have four days to respond.

America accused **China** of "massively" expanding its **nuclear arsenal** "without transparency". The claim was made at the UN's Conference on Disarmament in Geneva. China decried the "smearing of its nuclear policy". The two sides are expected to hold talks on Tuesday. Earlier American officials reportedly met a Russian delegation to discuss New START, a treaty limiting the countries' nuclear arsenals which expired this month.

Mexico deployed 2,500 more troops, in addition to the 7,000 already mobilised, to quell the violence sparked by the death of the leader of **Jalisco New Generation Cartel**, the country's most notorious drug-trafficking gang. Mexico's security minister said gangs had killed at least 25 soldiers in retaliatory attacks since Nemesio Rubén Oseguera Cervantes died after being captured by the Mexican army on Sunday.

Anthropic accused three **Chinese AI firms** of using fake accounts to generate millions of exchanges with its Claude chatbot. The American firm said the Chinese companies had sought to "illicitly extract" data and train their smaller models, thereby bypassing America's export controls on AI technology. Anthropic called for an industry-wide response, echoing recent warnings from OpenAI, an American rival.

Figure of the day: 122.5bn, the number of times country-music songs were streamed in America in 2025. Read the full story.

Photograph: Avalon

Germany’s troubled relationship with China

On Tuesday Friedrich Merz will embark on his first trip to China since taking office as German chancellor. His much-trailed visit, on which he will be accompanied by a planeload of CEOs, will mean useful facetime with the leader of Germany’s largest trading partner; the chancellor meets Xi Jinping on Wednesday. But it will also be shaped by the darkening mood at home.

German bosses who once saw China’s vast market as an El Dorado increasingly regard it as a threat. The trade deficit has soared. Small- and medium-sized manufacturing firms fear Chinese competitors—high on subsidies and exploiting a cheap yuan—coming for their business at home and abroad. China’s decision last year to weaponise its supply of chips and rare earths threatened to halt German production lines. Meanwhile, securocrats are sounding the alarm over espionage, hacking and China’s support for Vladimir Putin’s war in Ukraine. Little wonder “de-risking” will be a mantra for Mr Merz throughout his trip.

Photograph: Getty Images

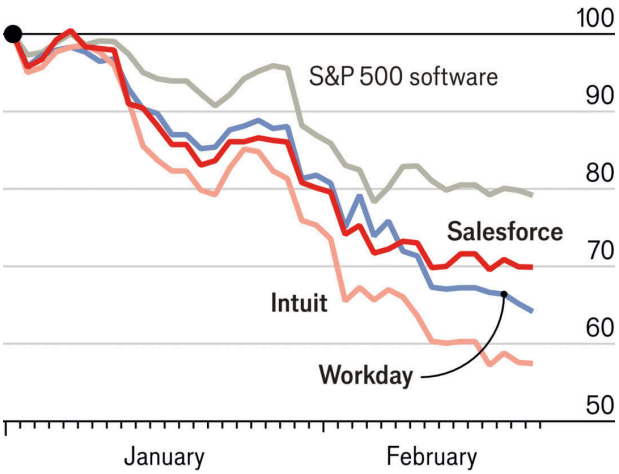
Fear of AI is rattling the software trade

Three large American software firms—Workday, Salesforce and Intuit—report earnings this week. Investors once prized such companies for high margins and steady subscription revenue. Now they fear disruption from AI. Coding tools from labs such as Anthropic and OpenAI have raised concerns that customers will rely less on established providers. Businesses may instead build similar services more cheaply themselves or turn to AI-native startups offering comparable products at lower cost.

Those worries are weighing on valuations. Since January the share prices of Salesforce and Workday have fallen by around a third, and Intuit's by two-fifths. Over the same period an index of software firms in the S&P 500 has dropped by about a fifth. Bosses insist the market has it wrong. They argue that incumbents are better placed to embed AI in their products, cut development costs and widen margins. Their challenge is to convince investors that AI will strengthen, not undermine, their business.

Code in the crosshairs

Share prices, January 1st 2026=100



Source: LSEG Workspace

Photograph: Reuters

The volatile state of America

Donald Trump's signature policies—immigration and trade—have become serious liabilities. Deadly clashes between federal agents and the public in Minneapolis turned Americans against his deportation agenda; the Supreme Court just undid his tariff regime. Mr Trump's approval rating has never been lower.

The president's state-of-the-union speech on Tuesday will be his opportunity to wrest back the narrative. Affordability will be an important theme: expect Mr Trump to brag about the mega tax cut offered by his One Big Beautiful Bill, which should see individuals receive $106bn this year. He will say less about health care (cuts to insurance subsidies have sent some premiums skyrocketing). And Mr Trump may talk about his approach to Iran, where an American attack seems imminent. Viewers may end up more, not less, confused about where he is taking America: a symptom of a president who thumbs his nose at Congress and at public opinion.

Photograph: Getty Images

Brazil: a sleeping giant

Brazil's economy has proven remarkably resilient. Newly released data show that its economy grew around 2.5% in 2025. Despite one of the world's highest interest rates—15%—the economy is running hot. Inflation is slightly above the central bank's target of 3%; unemployment is at record lows. The bank is expected to begin lowering the interest rate as soon as March. That would be a boon to President Luiz Inácio Lula da Silva, who is running for re-election in October.

Yet Brazil's economy has deep underlying problems. High interest rates have blown up the country's debt, putting pressure on the nominal deficit and leaving little room for private investment. The country's debt burden—which is higher than its Latin American peers—is on course to hit 99% of GDP by 2030, up from 62% in 2010, according to the IMF. Doomsayers warn of an impending fiscal crisis. Brazil may be growing, but it is punching beneath its weight.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Tuesday: Which American statesman helped create the League of Nations, although he failed to persuade America to join?

Monday: Which American statesman who was secretary of state under Richard Nixon died in 2023 at the age of 100?

People who never get carried away should be.

Malcolm Forbes